

Acme Corporation Annual Report

Fiscal Year 2024 — Financial Statements and MD&A;

Letter to Shareholders

Fiscal year 2024 was our strongest year to date. Total revenue grew 26 percent to \$179.4 million, and we expanded operating margin to 14.2 percent. Free cash flow reached \$31.6 million.

We continued to invest in our AI capabilities, launching the Acme Assistant in Q2 and reaching 240 enterprise customers by year end. Net revenue retention was 122 percent.

Revenue Summary

Total revenue for fiscal year 2024 was \$179.4 million, up 26 percent from \$142.6 million in 2023. Subscription revenue accounted for \$128.7 million (72 percent), professional services for \$33.2 million, and other revenue for \$17.5 million.

Revenue Line	FY2024 (\$M)	FY2023 (\$M)	Growth
Subscription	128.7	98.4	31%
Professional Services	33.2	28.1	18%
Other	17.5	16.1	9%
Total	179.4	142.6	26%

Operating Expenses

Total operating expenses were \$154.0 million. Research and development accounted for \$63.8 million, sales and marketing for \$52.1 million, general and administrative for \$30.4 million, and depreciation and amortization for \$7.7 million. Operating margin expanded to 14.2 percent from 10.0 percent in 2023.

Cash Position

Cash and cash equivalents at year end were \$118.8 million, up from \$87.2 million. Free cash flow was \$31.6 million. The company remains debt-free. A revolving credit facility of \$40 million remains undrawn.

Headcount

Total headcount at year end was 4,062 employees, up from 3,452. Engineering grew to 1,610, sales to 1,120, and customer success to 480.

Segment Performance

North America contributed \$102.5 million in revenue, Europe \$49.8 million, and Asia-Pacific \$27.1 million. The APAC region grew 41 percent year over year, driven by strong demand in India and Australia.

2025 Outlook

Management guides fiscal year 2025 revenue to \$222 to \$232 million, representing 24 to 29 percent growth. Operating margin is expected to expand to 16 to 18 percent. Headcount is planned to grow to approximately 4,850 employees.